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China Materials | Asia Pacific

May Trade Data: Aluminium Exports Increase Further

Aluminium products exports rose 16% YoY, while steel exports declined 2% YoY.

Steel exports in May decreased 2% YoY, but improved 9% MoM to 10.3Mt, likely reflecting a low base in April. Exports for 5M26 totaled 44.6Mt, -8% YoY. Daily production at CISA member mills declined 4.4% YoY in May (vs -5.7% YoY in April). Assuming similar YoY trends for nationwide total crude steel output, we estimate apparent steel consumption was 10.4% YoY/-11.1% MoM in May, on more stockpiling.

China's imports of copper and copper products (refined + alloys) totaled 446kt in May, down 1% MoM but up 4% YoY. The import arbitrage opened intermittently during April and May despite rising copper prices, with net refined imports in April reaching the highest level since September 2025. Inventory draws slowed in May. The Yangshan premium ranged between US\$60 and US\$75/t, indicating continued solid physical demand. Copper ore and concentrate imports declined 1% MoM and were flat YoY at 2.35Mt, while treatment charges continued to fall as strong sulphuric acid prices supported smelter margins. Chinese refined copper output growth also slowed in April.

Aluminium and product exports rose 6% MoM and 16% YoY to 632kt in May, the highest level since November 2024. Supply disruptions in the Middle East tightened ex-China markets and lifted LME prices, widening the export arbitrage. Chinese inventories have begun to decline, particularly as semis exports increase.

China's iron ore imports totalled 98Mt in May, down 6% MoM and flat YoY. Port inventories in China began to draw down gradually during the month but remain elevated. Pig iron production at steel mills is down 2% YTD, compared with a 4% YTD decline in crude steel output.

Coal imports declined 8% YoY but rose slightly by 1% MoM in May to 33Mt. Total coal imports YTD reached 183Mt, down 3% YoY. The decline reflected seasonal weakness in demand during a slower consumption period, along with higher imported coal prices. As domestic coal prices increased, the import arbitrage reopened, which we expect to support a MoM rebound in coal imports in June.

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Additional Trade Data Comments

Exhibit 1: China: May 2026 trade data

May 2026 Trade data	May 2025 - May 2026	May-26	Apr-26	Mar-26	Jan+Feb 2026	Dec-25	Nov-25	Oct-25	Sep-25	Aug-25	Jul-25	Jun-25	May-25	2026YTD
Finished Steel Imports (kt)		451	465	512	827	517	496	503	548	500	452	470	481	2,255
Change %, YoY		-6%	-11%	2%	-21%	-17%	5%	-6%	-1%	-2%	-10%	-18%	-24%	-12%
Change %, MoM		-3%	-9%	39%	NA	4%	-1%	-8%	10%	11%	-4%	-2%	-8%	NA
Finished Steel Exports (kt)		10,341	9,498	9,135	15,591	11,301	9,980	9,782	10,465	9,510	9,836	9,678	10,578	44,554
Change %, YoY		-2%	-9%	-13%	-8%	16%	8%	-13%	3%	0%	26%	11%	10%	-8%
Change %, MoM		9%	4%	17%	NA	13%	2%	-7%	10%	-3%	2%	-9%	1%	NA
Iron Ore Imports (mnt)		98	104	105	210	120	111	111	116	105	105	106	98	516
Change %, YoY		0%	1%	11%	10%	6%	9%	7%	12%	4%	2%	9%	-4%	6%
Change %, MoM		-6%	-1%	7%	NA	8%	-1%	-4%	11%	1%	-1%	8%	-5%	NA
Copper and Products Imports (kt)		446	452	416	700	437	427	438	485	425	480	464	427	2,013
Change %, YoY		4%	3%	-11%	-16%	-22%	-19%	-13%	1%	2%	10%	6%	-17%	-7%
Change %, MoM		-1%	9%	32%	NA	2%	-3%	-10%	14%	-11%	3%	9%	-3%	NA
Copper Ores & Concentrates Imports (kt)		2,361	2,352	2,630	4,934	2,704	2,526	2,451	2,587	2,759	2,560	2,350	2,395	12,275
Change %, YoY		-1%	-20%	10%	5%	7%	13%	6%	6%	7%	18%	2%	6%	-1%
Change %, MoM		0%	-11%	14%	NA	7%	3%	-5%	-6%	8%	9%	-2%	-18%	NA
Aluminum and Products Exports (kt)		632	598	485	971	545	570	503	521	534	542	489	547	2,685
Change %, YoY		16%	15%	-4%	13%	8%	-15%	-13%	-7%	-10%	-8%	-20%	-3%	10%
Change %, MoM		6%	23%	13%	NA	-4%	13%	-3%	-2%	-1%	11%	-11%	6%	NA
Coal Imports (mnt)		33	33	39	77	59	44	42	46	43	36	33	36	183
Change %, YoY		-8%	-13%	1%	1%	12%	-20%	-10%	-3%	-7%	-23%	-26%	-18%	-3%
Change %, MoM		1%	-15%	26%	NA	33%	6%	-9%	8%	20%	8%	-8%	-5%	NA

Source: General Administration of Customs, Morgan Stanley Research.

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Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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INDUSTRY COVERAGE: Greater China Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/09/2026)
Chris Jiang		
Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb18.36
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$2.91
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb46.88
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb7.02
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb183.10
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb57.39
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb60.54
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb47.85
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$26.78
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$19.73
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$7.53
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb10.73
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$8.27
Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb18.71

Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb26.30
Tianshan Aluminum (002532.SZ)	O (03/19/2026)	Rmb13.25
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$9.34
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb48.80
Rachel L Zhang		
Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb10.15
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$10.17
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.65
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb21.46
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb12.05
China Jushi (600176.SS)	O (12/22/2020)	Rmb39.12
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$4.24
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$18.75
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$16.60
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb17.05
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb47.08
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$30.56
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.82
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb67.94
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$55.95
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb71.61
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb24.90
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$33.30
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb41.36
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$18.35
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb30.09
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$6.43
Shandong Gold Mining Co. Ltd (600547.SS)	O (04/23/2025)	Rmb27.30
Shandong Gold Mining Co. Ltd (1787.HK)	O (12/12/2024)	HK\$22.04
Shandong Nanshan Aluminium Co. (600219.SS)	O (11/30/2020)	Rmb4.59
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$44.90
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb60.01
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb9.42
Zhaojin Mining Industry (1818.HK)	O (06/21/2024)	HK\$19.18
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$108.50
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$30.64
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb28.47

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: China Coal

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/09/2026)
Hannah Yang, CFA		
China Coal Energy Co., Ltd. (601898.SS)	E (03/16/2026)	Rmb16.28
China Coal Energy Co., Ltd. (1898.HK)	O (03/16/2026)	HK\$12.48
China Shenhua Energy (1088.HK)	O (11/02/2017)	HK\$46.16
China Shenhua Energy (601088.SS)	E (04/04/2019)	Rmb48.98
Shaanxi Coal Industry (601225.SS)	O (03/16/2026)	Rmb27.00
Shanxi Coking Coal (000983.SZ)	E (10/26/2021)	Rmb7.46
Yancoal Australia Ltd (3668.HK)	O (03/16/2026)	HK\$37.50
Yankuang Energy Group Co Ltd (1171.HK)	O (03/16/2026)	HK\$14.58
Yankuang Energy Group Co Ltd (600188.SS)	E (03/16/2026)	Rmb24.70
Rachel L Zhang		
Shougang Fushan Resources Group Limited (0639.HK)	O (09/15/2022)	HK\$2.73

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* Historical prices are not split adjusted.

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